



Bernard Cornfeld now lives quietly in France. He dabbles in real estate and is said to be thinking of reentering the mutual-fund business.

Investors Overseas Services (IOS) was the brainchild—some would say brainstorm—of an indubitably energetic group of young men led by Bernard Cornfeld and Edward Cowett—the first a former social worker, the second an unquestionably accomplished lawyer. IOS, in turn, was the guiding force for a large group of mutual funds; of mutual funds investing in other mutual funds (the Fund of Funds), including incestuous investment in funds of the IOS itself; and of firms to sell mutual funds and to manage mutual funds and, at a somewhat ethereal level, banks, insurance companies, and other financial entities. But, most of all, it was a vast sales organization in which securities salesmen recruited other salesmen and received a commission on their sales, and those so recruited, in turn, recruited yet other vendors and got commissions. The pyramid in Germany was eventually some six stories high, and only a fraction of the original investment found its way into the securities it was meant to buy. The rest went into all those commissions.

One would have difficulty imagining a fiscally more improbable enterprise for the investor. IOS was forbidden by the Securities and Exchange Commission to sell securities in the United States and in later times to American citizens wherever they lived. Thus its offshore designation. It was extruded from Brazil, normally considered a financially tolerant venue. It had recurrent problems with the Swiss and, in the end, was forced to move many of its operations to a closely adjacent site in France. Nonetheless, IOS extracted some billions of dollars from bemused investors, not excluding the salesmen of the firm itself, who were